INVESTMENT COMMITTEE MEMO

# Kangwon Land Inc.

KRX: 035250 - Korea's only casino open to Koreans (licence to 2045), with more net cash than market cap: the market prices the casino at roughly zero

**RECOMMENDATION: BUY (VALUE / EVENT-DRIVEN)**

**12-MO TARGET: KRW17,000 (+20%)**

| | | | |
|---|---|---|---|
| Reference price<br>KRW14,180 (23-Oct-26) | 52-wk range<br>KRW13,920-19,590 | Mkt cap (ex-treasury)<br>KRW2.81tn / US$2.1bn | Net financial assets [e]<br>~KRW2.93tn |
| Dividend<br>FY25 KRW950 (6.7%) | Largest holder<br>KOMIR 36.27% (public 51%) | Treasury shares<br>7.36% (not cancelled) | Broker targets<br>KRW18,000-20,000 (all Buy) |

## 104%

Net financial assets per share (~KRW14,780 [e]) as a share of the price. Enterprise value is negative (about −KRW0.12tn)

## ~0.9x

What the market pays for the casino resort (~KRW305bn LTM EBITDA) after a KRW0.4tn cash reserve. Listed peers 7.4x NTM; casino deals 9.2x

## KRW17,300

Probability-weighted value (+22%): bull KRW24,900 / base KRW17,000 / bear KRW10,400, plus a ~6% dividend yield

# Buy: a statutory monopoly priced at zero, with the controller needing the cash and new laws giving minorities a voice

**−KRW0.12tn**
Enterprise value: net financial assets (~KRW2.93tn [e]) exceed the KRW2.81tn market cap

**0.74x**
Price/book [u], the lowest in our data; Value-Up target 1.2x; 6.7% trailing yield

**−KRW3.16tn**
KOMIR's equity (negative): the 36% controller needs dividends; public bodies get ~55% of payouts

**KRW17,000**
12-month target (+20%); bull +75% / bear −27%; probability-weighted KRW17,300

**25%**
Bear-case probability: AML rule, levy applies, K-HIT destroys KRW1.3tn

## Why now - four forces converging

- **Casino for free:** after a KRW0.4tn reserve the market values ~KRW305bn of EBITDA at ~0.9x; the peer regression implies ~KRW3.0tn for operations alone
- **Controller wants cash:** KOMIR has −KRW3.16tn of equity; Value-Up payout ≥50% / total return ≥60% met two years running; separate dividend taxation from 2026
- **New minority levers:** cumulative voting (from 10-Sep-26), 3% cap on the controller in audit-committee votes, treasury cancellation deadline ~Sep-27 [e]
- **Levy fear misdirected:** the MCST indicated a carve-out (13% mine fund already paid) [u]; Kangwon Land fell 3% vs Paradise 23% in the levy week

## What has to go right

- Carve-out from the 15% tourism-levy bracket, or a cost below ~KRW30bn a year
- AML due-diligence rule modified (thresholds) rather than applied to every chip purchase
- FY26 DPS ≥KRW850 and Value-Up 2.0 (Feb-27) keeps total return ≥60%
- 7.36% treasury stake cancelled by the Commercial Act deadline
- K-HIT phased with IRR hurdles; net financial assets ≥KRW2tn through 2030

**Position sizing:** value / event-driven, medium conviction. Build a full position over 4-6 weeks (liquidity ~KRW4.8bn a day [e]). Add on 3Q26 (late Oct-early Nov), levy carve-out confirmation, FY26 DPS ≥KRW850 or a treasury-cancellation resolution. Optional pair: long Kangwon Land / short Paradise or Lotte Tour isolates the levy carve-out and the net-cash floor from China VIP and won risk.

# Kangwon Land at a glance - a state-owned domestic monopoly whose biggest partner is the government

## What it does

- **High1 Resort**, Jeongseon (Gangwon): the only one of Korea's 17 casinos open to Korean nationals, under the 1995 Special Act on abandoned mine areas (extended to 31-Dec-2045)
- 200 tables and ~1,360 machines (permit to 250 / 1,610 with the second casino, ~2028); ~1,850 rooms [e], 757 under renovation to Nov-27 / Apr-28; ski, golf, water park
- FY25: revenue KRW1.48tn (~87% casino), OP KRW235bn, NP KRW316.5bn; ~2.4m casino visits a year [e]
- **Government take KRW603bn = 42% of gaming sales:** tourism fund 10% + mine fund 13% of casino sales + taxes
- Control: public bodies 51.01% (KOMIR 36.27%, Jeongseon, Gangwon, Samcheok, Taebaek, Yeongwol); treasury 7.36%; free float ~41.6%

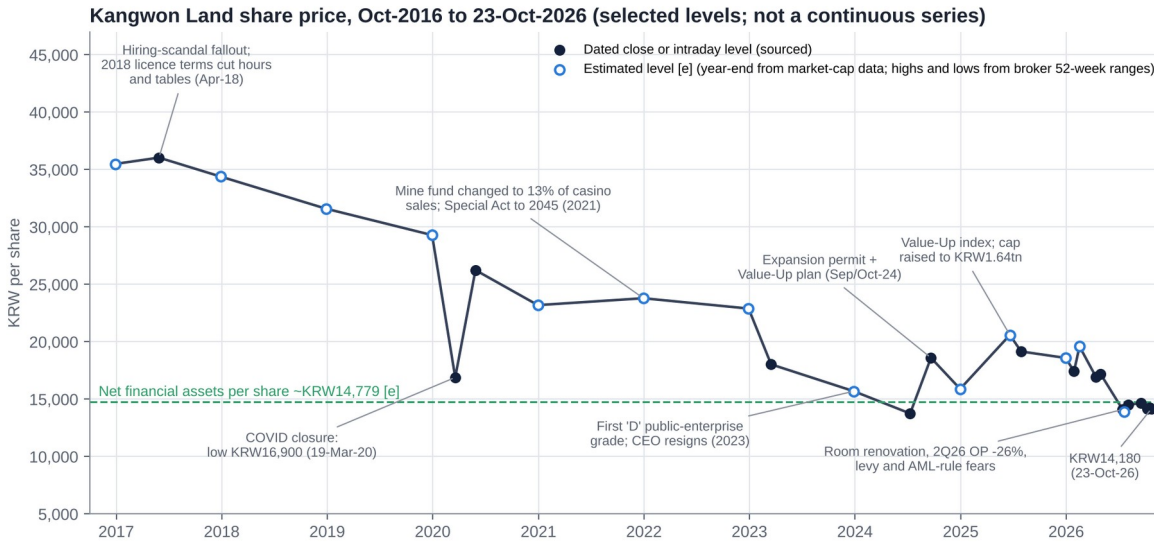
## Revenue and operating profit (KRW bn)

| | FY23 | FY24 | FY25 | 1H26 | FY26E |
|---|---|---|---|---|---|
| **Revenue** | 1,388.6 | 1,426.9 | 1,476.7 | 724.5 | 1,454.5 |
| **Growth** | +9.3% | +2.8% | +3.5% | −0.4% | −1.5% |
| **Operating profit** | 282.3 | 285.8 | 235.2 | 112.1 | 201.1 |
| **OP margin** | 20.3% | 20.0% | 15.9% | 15.5% | 13.8% |
| **Net profit** | 341.0 | 456.7 | 316.5 | 140.0 | 248.0 |
| **DPS (KRW)** | 930 | 1,170 | 950 | | 850E |
| **Total return (payout + buybacks)** | 55% | 60.1% | 62.6% | | ≥60% target |

Consolidated. FY24 NP includes ~KRW123bn of VAT refunds; 2Q26 NP includes a KRW97.3bn valuation gain. FY26E ours. Source: company results via press, brokers.

**The single most distinctive fact:** Kangwon Land holds ~KRW2.9tn of net financial assets [e], more than its KRW2.81tn market cap. The market is paying nothing for the only legal casino for 52 million Koreans, which earned ~KRW305bn of EBITDA in the last 12 months even after the State took 42% of gaming sales.

# Hours cut (2018), mine-fund change (2021), D grade (2023), levy and AML scares (2026): −60% in ten years [e]




## Key catalysts

| | |
|---|---|
| **2018** | Licence renewal cuts hours by two and tables 180 → 160; hiring-scandal fallout |
| **MAR-2021** | Special Act to 2045; mine fund changed to 13% of casino sales |
| **JUN-2023** | First 'D' grade; CEO resigns (Nov/Dec); ~32 months of acting CEOs |
| **SEP/OCT-2024** | Expansion permit + Value-Up plan: +35% rally |
| **MID-2025** | Value-Up index; VIP limits 10x; 2025 high ~KRW20,600 [u] |
| **JUL-2026** | Levy (15%) and AML proposals; peers −11% to −15% in a day |
| **AUG-2026** | 2Q26 OP −26%; targets cut; ex-general CEO elected |
| **OCT-2026** | Flat at ~KRW14,200; below net financial assets per share |

No single-day move above 10% found in five years (largest +5.7%, May-2020). Peak-to-trough −28% Feb-Jul 2026; 1-year −26% [u] vs KOSPI ~+82% [e]. Chart joins sourced dated levels with estimated year-end levels [e]; not a continuous series.

# On every enterprise-value measure it is free; on P/E it looks only fair - because half of profit is interest

| Metric | Kangwon Land | Paradise | GKL | Genting Sing. | GENM | Sands China | Galaxy | MGM China | NagaCorp | Median (31) |
|---|---|---|---|---|---|---|---|---|---|---|
| **TEV/Sales** | −0.08x | 1.66x | 0.33x | 1.81x | 1.56x | 2.23x | 2.71x | 1.45x | 1.64x | 1.81x |
| **TEV/EBITDA (LTM)** | n.m. | 9.6x | 1.7x | 5.6x | 8.1x | 8.5x | 10.1x | 6.2x | 2.6x | 8.0x |
| **TEV/EBITDA (NTM)** | n.m. | 7.5x | 1.6x | 5.1x | 6.6x | 7.8x | 9.2x | 5.2x | 3.1x | 7.5x |
| **P/E (LTM)** | 8.8x | 11.6x | 11.2x | 23.5x | 23.1x | 13.4x | 13.7x | 8.2x | 4.5x | 13.6x |
| **P/E (NTM)** | 10.1x | 9.8x | 9.3x | 17.0x | 14.9x | 11.3x | 13.2x | 8.3x | 5.1x | 10.7x |
| **EBITDA margin** | 20.7% | 17.4% | 19.8% | 32.4% | 19.2% | 26.3% | 26.9% | 23.5% | 61.9% | 24.6% |
| **EBIT margin** | 14.6% | 10.8% | 12.4% | 15.4% | 8.6% | 16.3% | 19.2% | 17.1% | 46.5% | 12.6% |
| **Net debt/EBITDA** | −9.6x | 3.0x | −4.3x | −3.7x | 5.6x | 2.7x | −0.8x | 1.7x | −0.8x | 4.4x |
| **Dividend yield** | 6.7% | 1.5% | 4.9% | 6.6% | 5.5% | 6.5% | 4.5% | 6.8% | 3.3% | 1.1% |

S&P Capital IQ, 16-Oct-2026 (LTM to 30-Jun-2026); Kangwon Land TEV/Sales at KRW14,180 is our calculation. Median of 31 listed casino peers, ex-Kangwon Land.

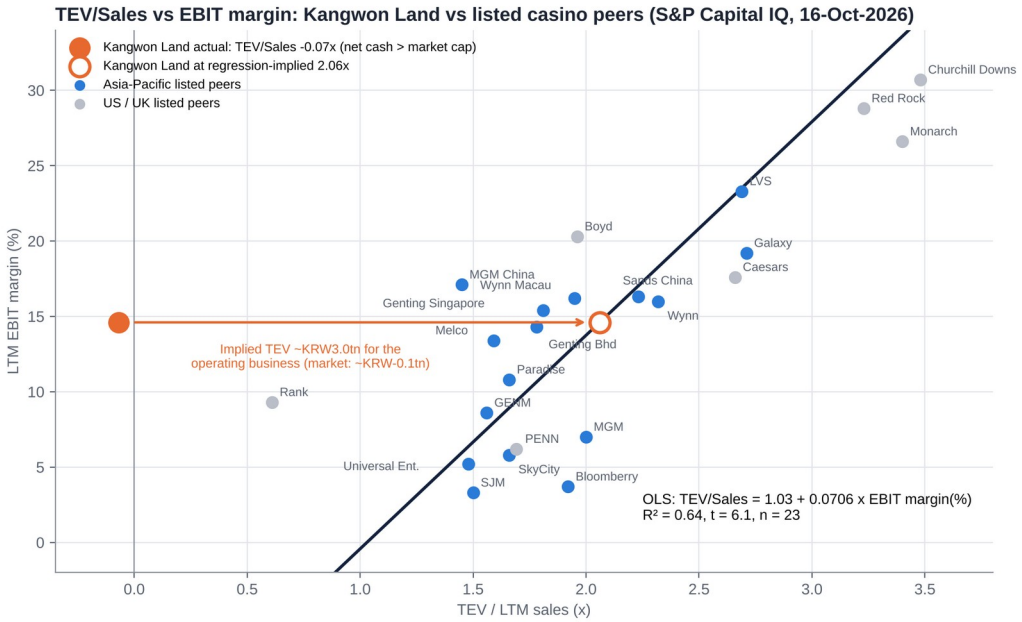
## What the comparison shows

- Negative EV: net financial assets ~KRW2.93tn [e] vs market cap KRW2.81tn. After a KRW0.4tn reserve, operations are valued at ~0.9x EBITDA
- Ex-cash P/E on FY27E operating NOPAT is ~1.8x [e]; the EBIT margin (14.6%) is above the peer median (12.6%) even after a 42% government take
- P/B ~0.74x [u] (2015: 2.60x) and a 6.7% yield, the top of its ten-year range

## The honest counter-read

- P/E (8.8x LTM, 11.3x FY26E ours) is only in line with peers: ~45% of pre-tax profit is financial income and valuation gains
- The cash is not fully the minority's: K-HIT targets ~KRW3tn of capex to 2035, and the State can redirect cash by levy or mandate
- Growth is below peers (LTM +1.8% vs +6.0%) and OP falls in FY26E (−15%) during the renovation

# Regression: peers with a 14.6% EBIT margin trade at ~2.1x sales - Kangwon Land's operating business trades at zero




## How to read it

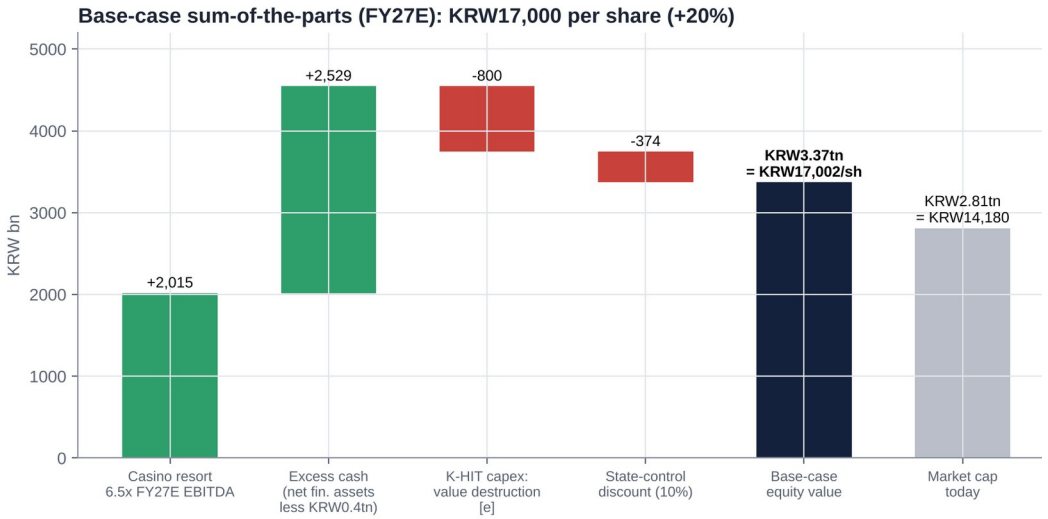
- Kangwon Land at −0.07x TEV/Sales (orange) sits far left of every peer: net cash exceeds market cap
- OLS implies **2.06x** at its 14.6% LTM EBIT margin, ~KRW3.0tn for operations, or **KRW28,100-30,100 a share** with the cash
- Slope 0.071x per point of EBIT margin; $R^2$ 0.64, t = 6.1 (n = 23 core peers; net-cash, negative-EBIT, micro-cap and double-count names excluded)
- **Even halving the implied operating value gives KRW20,400-22,400** (+44% to +58%)
- We do not use the regression as a target: peers are not state-controlled single-site monopolies with a 2045 sunset

OLS: TEV/Sales = 1.030 + 0.0706 x EBIT margin (%), $R^2$ = 0.64. EBITDA-margin cross-check $R^2$ 0.67. Source: S&P Capital IQ (16-Oct-2026), our calculations.

# Sum-of-the-parts: KRW17,000 per share in the base case, after charging KRW0.8tn for K-HIT and a 10% state-control discount

## Base-case SOTP (KRW bn)

| Component | Method | KRW bn |
|---|---|---|
| **Casino resort operations** | 6.5x FY27E EBITDA (310) | 2,015 |
| **Net financial assets** | S&P CIQ-derived [e] | 2,929 |
| **Operating reserve** | Accrued levies, payables, float [e] | (400) |
| **K-HIT value destruction** | ~KRW3tn capex below cost of capital [e] | (800) |
| **State-control discount** | −10% of equity | (374) |
| **Equity / per share** | **198.2m shares outstanding** | **3,370 / KRW17,000** |
| **Market cap today** | KRW14,180 | 2,810 |




- Implied P/B 0.88x; implied 6.5x EV/EBITDA on operations vs 7.4x Asia-Pac peers and a 9.2x deal median
- Each 1x on the operating multiple = ~KRW1,410 a share; each KRW0.5tn of K-HIT charge = ~KRW2,270
- Market-implied: KRW14,180 charges the entire excess cash pile (~KRW2.5tn) to future value destruction

# ~KRW2.9tn of net financial assets: still above KRW2tn in 2030 even with K-HIT ramping

**~KRW2.93tn**
Net financial assets [e] (S&P CIQ net debt/EBITDA −9.6x); ~KRW2.8tn current financial assets (IB Tomato, Oct-26)

**KRW14,780**
Net financial assets per share [e]: 104% of the price

**466%**
Current ratio; liabilities/equity 18%; no meaningful debt

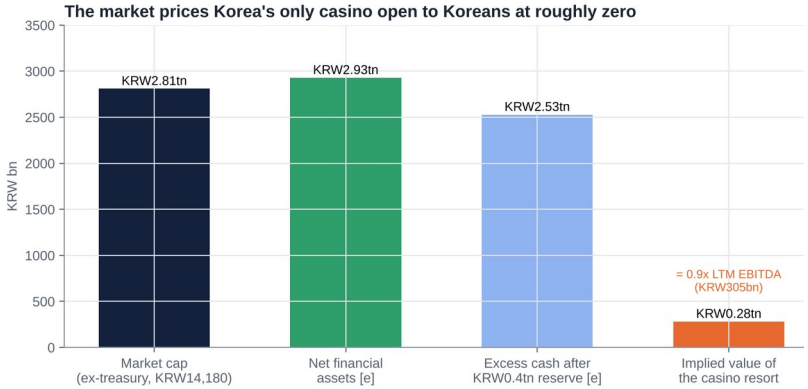
**~KRW3tn**
K-HIT master plan to 2035 (Nov-25): 13m visitors and KRW3.5tn revenue targeted; feasibility exemption sought

**KRW2.17tn**
Our 2030E net financial assets after K-HIT ramp, dividends and buybacks [e]

## Cash path, base case (KRW tn) [e]

| | 2026E | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|
| **Operating cash flow** | 0.33 | 0.33 | 0.35 | 0.36 | 0.37 |
| **Capex (renovation, second casino, K-HIT)** | (0.15) | (0.25) | (0.30) | (0.40) | (0.45) |
| **Dividends paid** | (0.19) | (0.17) | (0.17) | (0.18) | (0.19) |
| **Buybacks** | (0.05) | - | - | - | - |
| **Year-end net financial assets** | **2.88** | **2.79** | **2.67** | **2.44** | **2.17** |

Cash and equivalents only KRW162bn (Sep-25): the rest is in short-term financial instruments and funds whose composition is not disclosed in our sources (a diligence item). 1H26 operating cash flow was negative (timing of levies, taxes and bonuses).



# Earnings trough in 2026-27 during the renovation; consensus still ~17% too high on operating profit

## Estimates (KRW bn)

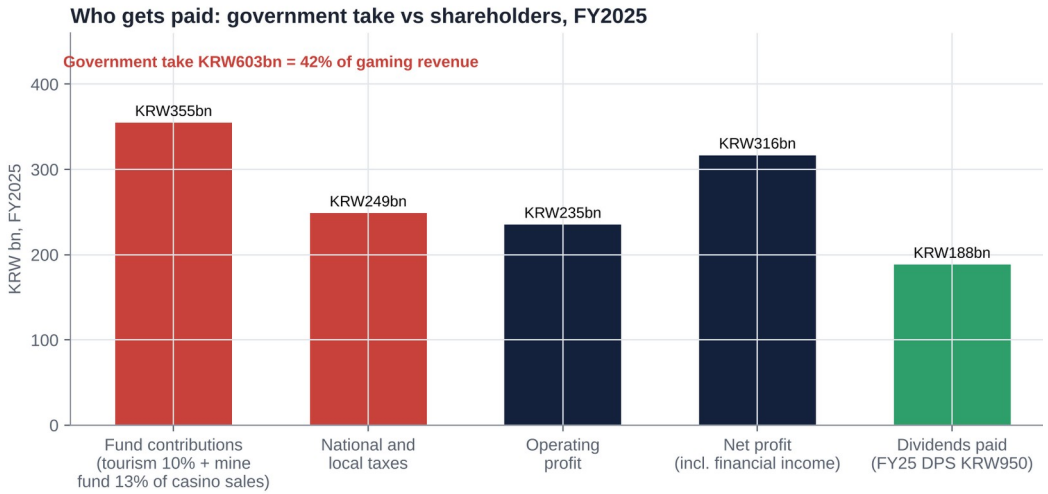
| | FY25A | FY26E | FY27E | FY28E |
|---|---|---|---|---|
| **Revenue** | 1,476.7 | 1,454.5 | 1,480 | 1,560 |
| **Operating profit** | 235.2 | 201.1 | 215.0 | 245.0 |
| **Consensus OP (May-26)** | - | 246.5 | 260.2 | - |
| **Net profit** | 316.5 | 248.0 | 244.2 | 262.7 |
| **EPS (KRW)** | 1,597 | 1,252 | 1,232 | 1,326 |
| **Consensus EPS (KRW)** | - | 1,423 | 1,487 | - |
| **DPS (KRW)** | 950 | 850 | 870 | 920 |
| **P/E at KRW14,180** | 8.9x | 11.3x | 11.5x | 10.7x |

Our estimates [e]; consensus Hana (4-May-26), pre-2Q26. Targets were cut 14-18% in August, so consensus has likely fallen.

## 2Q26 (4-Aug-26) and what comes next

- Revenue −4.2%, OP −26.2% (12% below consensus [u]), NP +59.8% on a KRW97.3bn valuation gain
- Casino visits −3.3%; VIP visits +18% but revenue −7.6% (hold); non-gaming −12.3% with 757 rooms offline
- Fixed costs amplify: revenue −4% became OP −26% (Kiwoom)
- 3Q26 preview (iM, 23-Oct): OP KRW64.2bn vs consensus KRW67.2bn; target cut to KRW18,000
- **Recovery in 2028:** condo (Nov-27) and hotel (Apr-28) reopen; second casino (+25% tables) completes Dec-27; VIP limits already lifted drop +46%

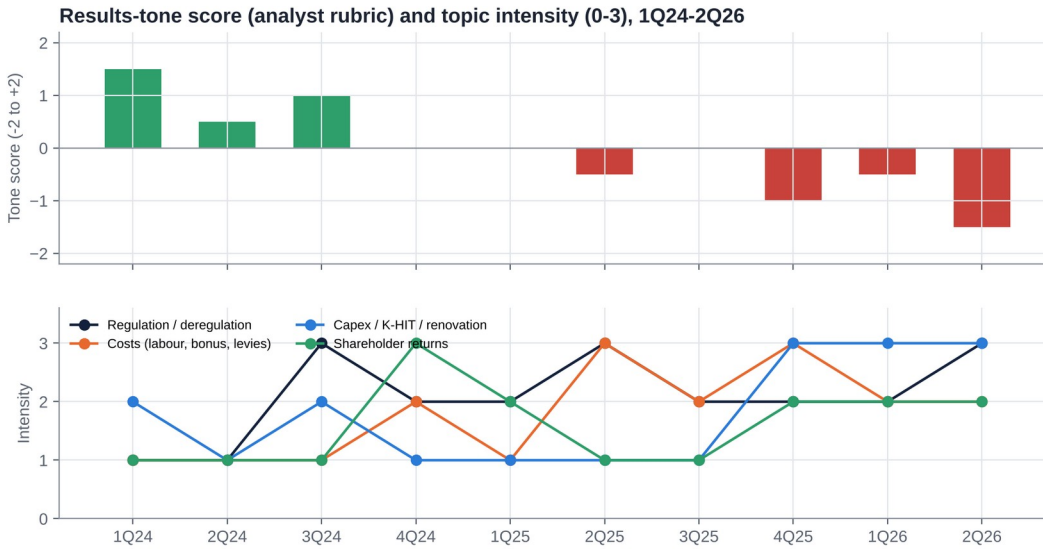
# The State takes 42% of gaming sales before shareholders see a won - and it changed the rules in 2021




## Why margins fell - and what could turn

- **2021 mine-fund change:** from 25% of profit (~KRW140bn) to 13% of casino gross sales (~KRW200bn), payable even in a loss year; bought the licence extension to 2045
- **OP margin** ~30-35% pre-2021 [u] → 20% (FY23-24) → 14.6% (LTM): labour and bonus creep, D&A, donations, renovation
- **Proposed 15% tourism bracket** (sales >KRW300bn per venue [u]): ~KRW56bn a year if applied [e]; the MCST indicated a carve-out [u]
- **AML rule:** management estimates −25.8% revenue (~KRW330bn); the National Assembly trade-committee chair wants it modified
- **Upside levers:** time-based entry, mass bet limit KRW300k → 1m, longer hours (the President ordered a review, Dec-25)

# Tone moved from 'deregulation and Value-Up' (2024) to 'renovation, levies and AML' (2026)




## What management is focused on

- Capex: renovation, second casino, K-HIT (~KRW3tn) and a feasibility-study exemption
- Regulatory reform year: entry rules, bet limits, hours; fighting the AML proposal
- Value-Up delivery (total return 60.1% FY24, 62.6% FY25)

## Management

- **Kim Do-kyun** (CEO since 2-Sep-26): retired army general, ex-Capital Defense commander; DP Gangwon chair; no casino experience
- **Yoo Jeong-bae** (VP): ex-Korea Coal Corp president
- ~32 months of acting CEOs (Dec-23 to Sep-26); 'C' grades FY24-25; Organisational Diagnosis and Innovation Committee to Dec-26

No transcripts available; S&P Capital IQ and ProntoNLP not connected. Scores use a disclosed four-part rubric applied to results releases and press and broker coverage, 1Q24-2Q26.

# Over-capitalised and under-distributed: capital allocation is the thesis

**~KRW2.93tn**

Net financial assets [e]; ~9.6x EBITDA; no debt

**62.6%**

FY25 total return (DPS KRW950, payout 59.2%, plus buybacks); Value-Up target ≥60%

**7.36%**

Treasury shares (~15.75m); none cancelled; Aug-26 EGM allowed retention or sale

**~KRW3tn**

K-HIT to 2035 vs ~KRW145bn a year of capex today

## Capital-allocation record

- **Good:** first SOE Value-Up plan (Oct-24), met two years; expansion permit and higher VIP limits; no debt
- **Poor:** regional subsidiaries (Sangdong 82% impaired, High1 Entertainment 83% impaired, Choo Choo Park never profitable); O2 Resort donation (directors held liable)
- **Poor:** K-HIT escalated from KRW2.5tn to ~KRW3tn with no IRR; treasury shares bought (KRW77bn) but not cancelled
- **Leakage:** bonus culture tied to SOE grades; >KRW100bn a year of comps; donations below OP

## Priorities we would push for

- 1. Return ~KRW1tn over FY27-29 (~KRW5,000 a share) via special dividends and buybacks with cancellation
- 2. Cancel the 7.36% treasury stake at the Mar-27 AGM
- 3. Value-Up 2.0: payout ≥70%, DPS floor KRW1,000, buybacks when P/B <1x
- 4. K-HIT: phase-by-phase IRR ≥8%, full feasibility study, ~KRW1.5tn cap until returns proven
- 5. Link pay to ROIC and TSR

# Not control - capital return: the controller needs cash, and the 2025-26 Commercial Act gives minorities real votes

**51.01%**
Public bodies (legal floor 51%); KOMIR 36.27% capped at 3% in audit-committee elections

**~41.6%**
Free float (NPS ~6.1% [u], foreigners ~12% [u], from ~30% in 2020)

**~55%**
Share of every dividend that goes to public bodies (KOMIR 39%, municipalities and Gangwon ~16%)

**0**
Activist-fund campaigns ever; only civic groups (Solidarity for Economic Reform, Aug-26 EGM)

## Why activism could work here

- Cumulative voting mandatory from 10-Sep-26 (assets ≥KRW2tn): the 41.6% float can concentrate votes on a minority nominee [e]
- 3% cap: KOMIR votes 3%; other public holders ~14.75% (if not related parties [u]) vs a 41.6% float in audit-committee elections [e]
- Treasury retention needs annual shareholder approval; the deadline forces a decision by ~Sep-27 [e]
- Quantifiable gap: casino valued at ~0x EBITDA; KOMIR's own balance sheet argues for payouts
- Precedent: outside directors held personally liable for a value-destroying donation (Supreme Court, 2019)

## Where the limits are

- 51% statutory public floor: no proxy fight for control
- MOEF appoints non-standing directors; interplay with the Commercial Act untested [u]
- Ruling-party CEO; regional politics favour K-HIT spending over dividends
- Liquidity ~KRW4.8bn a day [e]: a 5% stake (~KRW150bn) takes ~160 trading days at 20% of volume
- Few like-minded holders today; NPS is the swing vote

**What an activist would ask for:** (1) ~KRW1tn returned over FY27-29; (2) cancel the 7.36% treasury stake; (3) Value-Up 2.0 with payout ≥70% and a KRW1,000 DPS floor; (4) K-HIT stage-gates with published IRRs; (5) a minority-nominated director and audit-committee member via cumulative voting and the 3% rule. Target the Feb-27 Value-Up 2.0 and the Mar-27 AGM through a quiet coalition (NPS, domestic value funds, civic groups).

# No - the law fixes 51% in public hands; the events that matter are payout, treasury cancellation and K-HIT scope

## Realistic corporate events (12-24 months)

| Event | Likelihood | Effect on minorities |
|---|---|---|
| **Higher payout / special dividend (Value-Up 2.0, Feb-27)** | Medium-high | Positive: returns excess cash |
| **Treasury cancellation (7.36%) by ~Sep-27** | Medium | Positive signal |
| **K-HIT rescoped after the CEO's committee (Dec-26)** | Medium | Positive: protects cash |
| **KOMIR stake transfer or cash used for Korea Coal debt [u]** | Low-medium | Negative if outside dividends |
| **Second Korean-access casino (Saemangeum special act)** | Low | Negative for the monopoly |

Comparable control deals (S&P CIQ): median 9.2x EV/EBITDA (n=10); land-based casinos 9-11x (Crown 11.2x, Golden 9.8x, Caesars 9.1x).

## What deal multiples say about the operating business

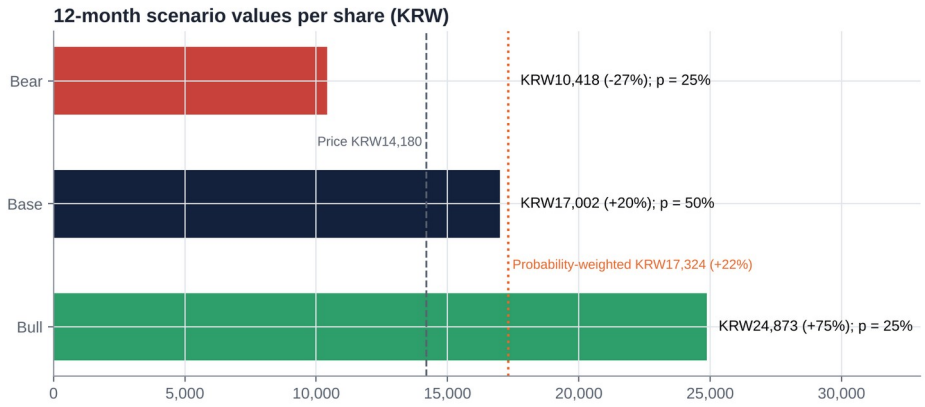
| TEV / FY26E EBITDA (KRW293bn) | 6.0x | 8.0x | 9.2x | 10.0x |
|---|---|---|---|---|
| **Operations (KRW tn)** | 1.76 | 2.34 | 2.70 | 2.93 |
| **+ excess cash KRW2.53tn = equity (KRW tn)** | 4.29 | 4.87 | 5.23 | 5.46 |
| **Value per share (KRW)** | 21,630 | 24,590 | 26,360 | 27,540 |
| **Premium to KRW14,180** | +53% | +73% | +86% | +94% |

Theoretical: no takeover is legally possible. Ignores the K-HIT charge and the state-control discount used in our SOTP.

- Even at a 6x deal-style multiple the business plus excess cash is worth ~KRW21,600 a share
- The gap to the price is the market's charge for value destruction and political leakage

# Asymmetric: −27% bear vs +75% bull; probability-weighted KRW17,300 (+22%) plus ~6% yield

| | Bear (25%) | Base (50%) | Bull (25%) |
|---|---|---|---|
| **Regulation** | 15% levy applies (~KRW56bn); AML partly enforced | Levy carve-out or diluted; AML modified | Carve-out; deregulation; second casino on time |
| **EBITDA basis / multiple** | KRW240bn / 5.0x | KRW310bn (FY27E) / 6.5x | KRW345bn (FY28E) / 8.0x |
| **Excess cash (after KRW0.4tn reserve)** | KRW2.53tn | KRW2.53tn | KRW2.63tn |
| **K-HIT NPV; state-control discount** | −KRW1.3tn; 15% | −KRW0.8tn; 10% | −KRW0.2tn; 5% |
| **FY26E DPS** | KRW650-700 | KRW850 | KRW950-1,000 |
| **Implied P/B** | 0.54x | 0.88x | 1.29x |
| **Per share** | **KRW10,400 (−27%)** | **KRW17,000 (+20%)** | **KRW24,900 (+75%)** |




- Downside support: net financial assets ~KRW14,780 a share; even the bear case keeps ~KRW1.2tn of cash after K-HIT losses
- Sensitivities: +1x operating multiple = +KRW1,410; KRW0.5tn less K-HIT charge = +KRW2,270; levy applied = −KRW1,650; full AML = −KRW5,900 [e]
- Expected total return ~28% (price +22% plus ~6% yield)

# The levy and AML decisions, the K-HIT review and Value-Up 2.0 decide the next two quarters

| | | | |
|---|---|---|---|
| ~28-OCT TO 4-NOV-26 [E] | **3Q26 results** | iM: OP KRW64.2bn vs consensus KRW67.2bn; drop and cash flow | HIGH |
| NOV-DEC 2026 | **Tourism Promotion Act / levy decree** | Carve-out for Kangwon Land vs a 15% bracket (~KRW56bn a year) | CRITICAL |
| NOV-DEC 2026 | **FIU AML due-diligence decision** | Up to ~26% revenue risk (company estimate) | CRITICAL |
| BY 31-DEC-26 | **Organisational Diagnosis and Innovation Committee** | K-HIT rescoping vs acceleration | HIGH |
| DEC-26 | **NGCC 2027 sales cap; 2027 budget** | Headroom; capex trajectory | MEDIUM |
| ~LATE FEB-27 | **FY26 DPS and Value-Up 2.0 (FY27-29)** | Payout policy; dividend-tax qualification | CRITICAL |
| MAR-27 | **AGM** | Cumulative voting, audit-committee vote (3% cap), treasury retention | HIGH |
| JUN-27 | **Public-enterprise evaluation (FY26)** | Bonuses; CEO standing | MEDIUM |
| ~SEP-27 [E] | **Treasury cancellation deadline** | Cancel 7.36% or seek annual retention | HIGH |
| NOV-27 TO APR-28 | **Condo, second casino, hotel reopen** | 2028 earnings recovery | HIGH |
| ANY TIME | **Saemangeum / 'public casino'; KOMIR restructuring** | Exclusivity; cash diversion | MEDIUM |

# What would make this thesis wrong

## 01 AML customer due diligence

Full ID checks on every chip purchase: company estimate −25.8% revenue (~KRW330bn); players pushed to illegal online (KRW95.9tn market)

## 02 Cash spent, not returned

K-HIT ~KRW3tn to 2035 at a remote site; feasibility exemption sought; political CEO; history of 80%+ impaired regional projects

## 03 Levies and taxes

15% tourism bracket (~KRW56bn a year if applied); the State already takes 42% of gaming sales and changed the mine fund in 2021

## 04 Exclusivity and sunset

'Public casino' / Saemangeum IR with Korean access would need a special act; the Special Act sunsets in 2045

## 05 Earnings and costs

Renovation until 2028; labour and bonus creep ('195% bonus' criticism [u]); ~45% of pre-tax profit is financial income

## 06 Governance and liquidity

Treasury retention allowed (Aug-26); untested interplay of the Commercial Act with public-institution rules; ~KRW4.8bn a day traded

INVESTMENT COMMITTEE DECISION

# Recommendation: BUY (value / event-driven)

**KRW17,000**
12-mo target (+20%)

**~0.9x**
EBITDA paid for the casino after a cash reserve

**104%**
Net financial assets per share vs price [e]

**KRW17,300**
Probability-weighted (bear KRW10,400)

- Korea's only casino open to Koreans (licence to 2045) at a negative enterprise value: net financial assets of ~KRW2.93tn [e] exceed the KRW2.81tn market cap
- The controller (KOMIR, −KRW3.16tn equity) needs dividends; public bodies receive ~55% of payouts; Value-Up total return ≥60% met two years running
- New minority levers from the 2025-26 Commercial Act (cumulative voting, 3% audit cap, treasury cancellation) meet Value-Up 2.0 (Feb-27) and the Mar-27 AGM
- Main risks: the AML rule, K-HIT capex, levies and a political CEO. Hence medium conviction, SOTP charges for K-HIT and hard triggers

## Sizing and monitoring

Value / event-driven, medium conviction. Build a full position over 4-6 weeks; add on 3Q26, levy carve-out confirmation, FY26 DPS ≥KRW850 or a treasury-cancellation resolution. Consider joining a quiet coalition (NPS, domestic value funds) ahead of Value-Up 2.0 and the Mar-27 AGM.

Hard review triggers: AML rule enacted unmodified; a legislated Korean-access casino; FY26 DPS below KRW700 or payout below 50%; K-HIT exempted with no IRR disclosure; treasury shares sold to a related party.

Track: 3Q26 (late Oct-early Nov), levy decree and FIU decision (Nov-Dec), K-HIT committee (Dec), Value-Up 2.0 and DPS (Feb-27), AGM (Mar-27).